

Once bitten, twice shy. Why inflation is being pumped up

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By Justin Smirk

Senior Economist, Westpac

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A short video from Justin Smirk on economic forecasting uncertainties amid a geopolitical conflict focusing on scenarios involving closures of the Strait of Hormuz and their impact on energy prices and inflation.

This video dives into recent developments such as a ceasefire and the reopening of the Strait, and their implications for inflation and monetary policy in Australia. The Westpac Economics Team has built up a series of conflict scenarios and baseline forecasts including a baseline before conflict, a one-

month closure of the Strait of Hormuz with minimal damage, and a two-month closure with some damage and slow recovery. Our current forecasts are based on the two-month closure scenario but predate the recent two-week ceasefire and the claimed reopening of the Strait. The ceasefire, if it holds, represents a positive risk with potentially faster reopening and lower energy prices than previously anticipated.

- **Inflation impact and fuel prices:** Crude oil prices to average around US\$120 per barrel in the June quarter, with Brent trading under US\$100 per barrel currently. Refining margins are expected to normalize slowly, and despite reductions in Australian fuel excise, unleaded petrol prices are projected to peak at \$2.46 per litre in late May, with a 26¢ increase when excise returns to normal. This results in a 1.5% CPI increase in the March quarter, a 4.2% annual pace with a further 1.9% CPI rise in the June quarter for a 5.4% annual rate.
- **Core inflation and price pass-through:** Firms are passing fuel cost increases to other prices more rapidly than in the past, often via fuel surcharges or direct price hikes, raising concerns for RBA to the magnitude of pass-through to core inflation measures. Consequently, core inflation estimates have been raised, with the quarterly Trimmed Mean expected to rise 0.9% in March, 1% in June and September, then easing a touch to 0.9% in December. Core inflation is projected to accelerate from 3.4% annual pace in December to 4.0% by September and remain at that level through to year-end and will be staying near the top of the RBA's target band at around 3% by end 2027.
- **Monetary policy outlook and uncertainties:** Monthly CPI is expected to show more volatility than quarterly figures, with auto fuel prices surging 35% in March, pushing monthly CPI annual pace to around 6% in May or June. Monthly core inflation is projected to peak around 4% in the second half of the year. The RBA is expected to respond with 25 basis point rate hikes in May, June, and August. However, outcomes depend on whether the ceasefire holds, energy prices fall faster, and pass-through is less than expected, or conversely, if conflict reignites, supply disruptions persist, and inflation pressures intensify.

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